FINANCIAL DILIGENCE SUPPORT - RECORD 014

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-014

1. Basis of preparation and the control environment behind the numbers

The reported figures are the output of a monthly close process with identifiable weaknesses, and this section describes that process rather than assuming it operates. Taken alone,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. In this stream,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed.

As matters stand,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. From the extract,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule. As to the facts,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. From the extract, a prepaid correction of $46,900 appears as JE-25-0455 on 2025-05-01. On any view,, a maintenance contract expensed on payment in 2024 was partially reinstated as a prepaid asset in 2025. The correction is in the right direction but was recorded in the wrong period; both years were restated in the analysis. For this prepaid correction the preparer was L. Brantley, approved by M. Okonjo. On this prepaid correction, a second preparer reperformed the arithmetic and reached the same figure to the dollar.

In detail,, reconciliation differences are reported at the amount found, including small residuals, rather than being described as immaterial and omitted. Taken alone,, the reviewer reperformed rather than reviewed management's own calculations wherever the calculation drives an adjustment. Read narrowly,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter. Taken alone, a reversal of a prior accrual of $74,900 appears as JE-24-1103 on 2024-12-31. Per the register,, the FY2024 bonus accrual was reversed in full on the last day of the year following a board decision recorded only in an email. The reversal is factually supported but the reviewer treats the benefit as a timing item on the adjustment schedule. For this reversal of a prior accrual the preparer was T. Vasquez, approved by M. Okonjo. On this reversal of a prior, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment.

On the source,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. On the record,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified. From the extract,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. JE-26-0291 is a interim staffing accrual of $34,000 posted on 2026-03-27. On a second read,, the final month of the interim finance engagement was accrued at a rate different from the engagement letter. On this interim staffing accrual, the reviewer left the amount unchanged after review but strengthened the evidence reference. This interim staffing accrual was prepared by L. Brantley and approved by M. Okonjo. For this interim staffing accrual, the file records the question asked, the answer given and the document that settled it.

2. Working capital carried in the contract base

The billing profile of each contract determines whether cash arrives before or after the cost of delivery, which is what drives the monthly working capital swing. On inspection,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap. By reference,, cash application is performed by the same person who maintains the customer master, which is what allowed an overpayment to be applied to a settled invoice.

Read narrowly, also within scope is HC-2156 with Yarrow Distribution Partners, signed 2026-06-04 for 36 months and carrying contracted hardware of $1,582,300, annual subscription value of $786,200 and a deployment fee of $214,500. On the documents,, signed within the final month of the review period, with no revenue recognized by the cut-off and a deployment fee invoiced in advance. No amendments; the advance invoice creates a deferred revenue balance that was traced into the closing rollforward. For Yarrow Distribution Partners, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Under Yarrow Distribution Partners, the

amount was agreed to the underlying system extract without a residual difference. HC-2162 (Zephyr Retail Logistics) runs 42 months from 2025-06-12. In the file,, across Zephyr Retail Logistics, the supporting document was produced after two requests and its late arrival is noted in the register. Four obligations including a hosted analytics module sold as an add-on with its own renewal cycle. Under Zephyr Retail Logistics, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. Zephyr Retail Logistics carries contracted hardware of $2,064,800, annual subscription value of $998,400 and a deployment fee of $286,000 across the contracted term. On Zephyr Retail Logistics, the item was selected for testing because of its characteristics rather than its size. For Zephyr Retail Logistics, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. On the balance, testing reached HC-2173 with Brackenridge Supply, signed 2025-02-06 for 30 months and carrying contracted hardware of $1,046,700, annual subscription value of $548,300 and a deployment fee of $142,500. Against the ledger,, across Brackenridge Supply, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. Standard three-obligation structure with a twelve-month ramp on the subscription price, so billed and recognized amounts diverge through the ramp. No amendments; the ramp is contractual and creates a difference between billed and recognized subscription revenue in each of the first four quarters. The ramp was tested because it produces a contract asset; the asset balance agrees to the contract but was presented within trade receivables. Under Brackenridge Supply, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result.

HC-2086 (Kadence Industrial Holdings) runs 60 months from 2025-04-24. On the evidence,, across Kadence Industrial Holdings, a small residual difference remains and is reported rather than described as immaterial and omitted. The largest contract in the population: five facilities, staged hardware transfer, a master subscription with volume tiers, and a managed deployment obligation with a dedicated crew. Under Kadence Industrial Holdings, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Kadence Industrial Holdings carries contracted hardware of $4,128,700, annual subscription value of $2,046,500 and a deployment fee of $612,000 across the contracted term. Three amendments across 2025 and 2026 adjusted the facility sequence, added a spare parts pool and introduced an annual price escalator. For Kadence Industrial Holdings, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. By reference, Saltmarsh Logistics contracted under HC-2127 on 2026-01-09. On testing,, across Saltmarsh Logistics, the reviewer declined to net this item against another with an opposite direction in the same period. Two obligations only: hardware on acceptance and a subscription, with deployment performed by a channel partner under a separate agreement. On Saltmarsh Logistics, the amount was agreed to the underlying system extract without a residual difference. Commercially Saltmarsh Logistics carries contracted hardware of $1,246,900, annual subscription value of $668,400 and a deployment fee of $174,000 over 36 months. Testing confirmed the company is not the principal for the deployment work and records only the referral fee net, which the reviewer accepted. Under Saltmarsh Logistics, no further procedures were considered necessary once the source document had been inspected. From the extract, Granite Peak Distribution contracted under HC-2074 on 2025-01-16. In this stream,, across Granite Peak Distribution, the evidence was inspected in original form rather than as a management-prepared summary. Three phases of hardware with separate acceptance, a subscription priced per active unit, and a deployment obligation including layout simulation delivered before installation. An August 2025 amendment added a service level commitment with credits, and a May 2026 amendment accelerated phase three. Commercially Granite Peak Distribution carries contracted hardware of $2,746,100, annual subscription value of $1,312,700 and a deployment fee of $386,000 over 36 months. The layout simulation was delivered and billed in advance of installation; testing confirmed it is capable of being distinct and was recognized on delivery. Under Granite Peak Distribution, no projection was made from this item because it arises from a single identifiable event.

On the substance, Pinecrest Retail Services contracted under HC-2109 on 2025-09-17. On this point,, three obligations plus an option for additional units at a discount that testing evaluated as a potential material right. On Pinecrest Retail Services, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. Commercially Pinecrest Retail Services carries contracted hardware of $1,684,500, annual subscription value of $824,200 and a deployment fee of $232,000 over 36 months. The discount was assessed as a material right; management allocated no consideration to it, and the reviewer left this as an open judgment. Under Pinecrest Retail Services, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. HC-2144 (Vantage Cold Storage) runs 36 months from 2026-04-07. On the papers,, hardware, subscription and a validation obligation similar in structure to the Meridian contract but with a fixed-fee validation. Under

Vantage Cold Storage, the item was selected for testing because of its characteristics rather than its size. Vantage Cold Storage carries contracted hardware of $1,368,700, annual subscription value of $704,500 and a deployment fee of $186,500 across the contracted term. No amendments; a change request for additional units was pending at the cut-off and had not been priced. The pending change request is disclosed as an open item because it may create variable consideration in the period after the cut-off. By agreement, Dunbar Industrial contracted under HC-2058 on 2024-07-19. As to the facts,, across Dunbar Industrial, a second preparer reperformed the arithmetic and reached the same figure to the dollar. A short-term pilot with hardware supplied on a loan basis and a monthly platform fee; no deployment fee was charged. On Dunbar Industrial, the conclusion is stated at the low end of the supportable range, as the file convention requires. Commercially Dunbar Industrial carries contracted hardware of $284,700 and annual subscription value of $132,000 with no separate deployment fee over 12 months. Pilot revenue was recognized ratably, which the reviewer accepted; the receivable was subsequently written off. Under Dunbar Industrial, the conclusion rests on a document produced by a third party rather than by the company.

Schedule 14.1 - Unbilled receivables and deposits by milestone

Contract / customer	Milestone	Unbilled ($)	Deposit held ($)	Billing trigger	Expected billing	Risk note
HC-2156 / Yarrow Distribution Pa	Operator training delivered	44,655	118,663	Issue of the quarterly subscription invoice	2026-10	Ageing beyond ninety days without billing
HC-2168 / Ashcombe Beverage Dist	Installation complete	321,217	138,576	Elapsed time from go-live	2026-07	Deposit exceeds work performed to date
HC-2109 / Pinecrest Retail Servi	Layout simulation delivered	242,823	47,958	Acceptance test certificate	2026-09	Billing blocked pending an amendment
HC-2150 / Westbourne Grocery	Installation complete	76,772	146,245	Issue of the quarterly subscription invoice	2026-07	Deposit exceeds work performed to date
HC-2150 / Westbourne Grocery	Layout simulation delivered	277,296	14,056	Issue of the quarterly subscription invoice	2026-08	Trigger depends on a customer-controlled test
HC-2156 / Yarrow Distribution Pa	Final handover signed	55,236	10,129	Delivery receipt countersigned at site	Awaiting sign-off	No risk identified; routine timing
HC-2041 / Asterion Logistics	Installation complete	222,494	91,649	Issue of the quarterly subscription invoice	2026-08	Deposit exceeds work performed to date
HC-2058 / Dunbar Industrial	Final handover signed	177,137	109,258	Delivery receipt countersigned at site	Awaiting sign-off	Trigger depends on a customer-controlled test
HC-2052 / Crestline Fulfillment	Layout simulation delivered	21,861	14,243	Acceptance test certificate	2026-09	No risk identified; routine timing
HC-2086 / Kadence Industrial Hol	Thirty-day stabilization complete	355,304	1,564	Completion of the stabilization window	2026-07	Ageing beyond ninety days without billing
HC-2063 / Evergreen Warehousing	Customer acceptance test passed	343,336	89,833	Issue of the quarterly subscription invoice	2026-07	Trigger depends on a customer-controlled test
HC-2109 / Pinecrest Retail Servi	Site survey accepted	248,399	46,648	Completion of the stabilization window	Awaiting sign-off	Billing blocked pending an amendment
HC-2074 / Granite Peak Distribut	Layout simulation delivered	316,858	47,857	Completion of the stabilization window	2026-09	Deposit exceeds work performed to date
HC-2144 / Vantage Cold Storage	Customer acceptance test passed	325,386	97,797	Issue of the quarterly subscription invoice	2026-07	Deposit exceeds work performed to date
HC-2074 / Granite Peak	Final handover signed	124,329	91,831	Acceptance test certificate	2026-10	No risk identified; routine timing

Contract / customer	Milestone	Unbilled ($)	Deposit held ($)	Billing trigger	Expected billing	Risk note
Distribut						
HC-2156 / Yarrow Distribution Pa	Thirty-day stabilization complete	57,112	80,699	Delivery receipt countersigned at site	Awaiting sign-off	Ageing beyond ninety days without billing
HC-2168 / Ashcombe Beverage Dist	Thirty-day stabilization complete	86,292	2,714	Completion of the stabilization window	2026-08	Billing blocked pending an amendment
HC-2063 / Evergreen Warehousing	Operator training delivered	149,238	56,581	Completion of the stabilization window	2026-09	Deposit exceeds work performed to date
HC-2092 / Meridian Cold Chain	Installation complete	300,379	138,204	Completion of the stabilization window	2026-07	No risk identified; routine timing
HC-2052 / Crestline Fulfillment	Layout simulation delivered	34,080	136,687	Delivery receipt countersigned at site	2026-07	Trigger depends on a customer-controlled test
HC-2104 / Oakhurst Parts Group	Final handover signed	83,837	137,156	Acceptance test certificate	Awaiting sign-off	Milestone certificate not yet countersigned
HC-2173 / Brackenridge Supply	Customer acceptance test passed	87,618	137,390	Delivery receipt countersigned at site	2026-08	No risk identified; routine timing
HC-2047 / Blue Mesa Components	Final handover signed	342,732	1,627	Completion of the stabilization window	2026-10	Billing blocked pending an amendment
HC-2109 / Pinecrest Retail Servi	Layout simulation delivered	35,504	17,486	Delivery receipt countersigned at site	Awaiting sign-off	Ageing beyond ninety days without billing
HC-2139 / Umberland Freight	Site survey accepted	243,361	81,489	Issue of the quarterly subscription invoice	2026-07	Milestone certificate not yet countersigned
HC-2069 / Fathom Mobility	Layout simulation delivered	160,801	59,189	Acceptance test certificate	2026-08	No risk identified; routine timing

3. Identifying obligations in the subscription, hardware and services model

Obligation identification follows FASB ASC Topic 606, and the reviewer read each contract in the sample rather than relying on the company's contract summary. On its facts,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. On the papers,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ.

On the merits, also within scope is HC-2156 with Yarrow Distribution Partners, signed 2026-06-04 for 36 months and carrying contracted hardware of $1,582,300, annual subscription value of $786,200 and a deployment fee of $214,500. Per the index,, across Yarrow Distribution Partners, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Signed within the final month of the review period, with no revenue recognized by the cut-off and a deployment fee invoiced in advance. No amendments; the advance invoice creates a deferred revenue balance that was traced into the closing rollforward. Because no performance had occurred, the entire invoice should sit in deferred revenue; testing confirmed it does. Under Yarrow Distribution Partners, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. Per the workpaper, Evergreen Warehousing contracted under HC-2063 on 2024-09-05. In review,, across Evergreen Warehousing, reperformance used the contractual rate rather than the rate management had applied. Two distribution centres take hardware on acceptance, share a single subscription measured by active units, and buy an onboarding package that includes operator training. A July 2025 amendment reduced the unit count by four following a layout change and issued a partial credit against the deployment fee. Commercially Evergreen Warehousing carries contracted hardware of $2,104,300, annual subscription value of $1,128,400 and a deployment fee of $268,500 over 36 months. An overpayment received in March 2026 was applied to revenue rather than held as a customer credit, which testing identified as an unrecorded liability. Under Evergreen Warehousing, the amount was agreed to the underlying system extract without a residual difference. HC-2173 (Brackenridge Supply) runs 30 months from 2025-02-06. On a second read,, standard three-obligation structure with a twelve-month ramp on the subscription price, so billed and recognized amounts diverge through the ramp. Under Brackenridge Supply, the item is presented gross so that a reader can rebuild the measure from

reported results. Brackenridge Supply carries contracted hardware of $1,046,700, annual subscription value of $548,300 and a deployment fee of $142,500 across the contracted term. No amendments; the ramp is contractual and creates a difference between billed and recognized subscription revenue in each of the first four quarters. The ramp was tested because it produces a contract asset; the asset balance agrees to the contract but was presented within trade receivables.

In this stream, Dunbar Industrial contracted under HC-2058 on 2024-07-19. As matters stand,, a short-term pilot with hardware supplied on a loan basis and a monthly platform fee; no deployment fee was charged. On Dunbar Industrial, the supporting document was produced after two requests and its late arrival is noted in the register. Commercially Dunbar Industrial carries contracted hardware of $284,700 and annual subscription value of $132,000 with no separate deployment fee over 12 months. For Dunbar Industrial, the file records the question asked, the answer given and the document that settled it. Under Dunbar Industrial, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. By reference, Zephyr Retail Logistics contracted under HC-2162 on 2025-06-12. By agreement,, across Zephyr Retail Logistics, no projection was made from this item because it arises from a single identifiable event. Four obligations including a hosted analytics module sold as an add-on with its own renewal cycle. On Zephyr Retail Logistics, a second preparer reperformed the arithmetic and reached the same figure to the dollar. Commercially Zephyr Retail Logistics carries contracted hardware of $2,064,800, annual subscription value of $998,400 and a deployment fee of $286,000 over 42 months. The amendment was accounted for prospectively; the reviewer tested whether the remaining goods and services were distinct and concluded prospective treatment is supportable. Under Zephyr Retail Logistics, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Per the index, testing reached HC-2139 with Umberland Freight, signed 2026-03-13 for 24 months and carrying contracted hardware of $618,200, annual subscription value of $342,700 and a deployment fee of $92,000. Read narrowly,, a retrofit contract where existing customer equipment is integrated, so the hardware element is smaller and the services element larger than the population average. No amendments; the contract includes a customer-favourable acceptance test that delayed transfer by five weeks. The delayed acceptance was correctly reflected, and the contract was retained in the sample as evidence that the acceptance control operates. Under Umberland Freight, the reviewer recorded that no comparable item was found in the two earlier periods examined.

HC-2104 (Oakhurst Parts Group) runs 30 months from 2025-08-29. On inspection,, hardware transfers on delivery with installation by the customer's own contractor, so the deployment obligation is limited to remote commissioning support. Under Oakhurst Parts Group, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. Oakhurst Parts Group carries contracted hardware of $1,142,800, annual subscription value of $596,400 and a deployment fee of $158,500 across the contracted term. A June 2026 amendment brought installation back in scope for a second site at a separately negotiated fee. Because installation is performed by the customer, hardware transfer is earlier than in comparable contracts; the earlier transfer date was verified to the delivery receipt. HC-2150 (Westbourne Grocery) runs 18 months from 2026-05-19. Per the index,, across Westbourne Grocery, reperformance used the contractual rate rather than the rate management had applied. A short-term contract taken to test a smaller-format cell, with hardware, subscription and a minimal onboarding element. Under Westbourne Grocery, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. Westbourne Grocery carries contracted hardware of $384,500, annual subscription value of $212,400 and a deployment fee of $54,000 across the contracted term. No amendments; the customer has an option to convert to a thirty-six month term at a stated price. For Westbourne Grocery, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. HC-2086 (Kadence Industrial Holdings) runs 60 months from 2025-04-24. Per the index,, the largest contract in the population: five facilities, staged hardware transfer, a master subscription with volume tiers, and a managed deployment obligation with a dedicated crew. Under Kadence Industrial Holdings, the supporting document was produced after two requests and its late arrival is noted in the register. Kadence Industrial Holdings carries contracted hardware of $4,128,700, annual subscription value of $2,046,500 and a deployment fee of $612,000 across the contracted term. Three amendments across 2025 and 2026 adjusted the facility sequence, added a spare parts pool and introduced an annual price escalator. Volume tier pricing creates variable consideration; management estimated the tier achieved rather than constraining to the minimum, and the estimate was tested against actual unit counts.

On the record, the obligation analysis covers HC-2081 with Harborline Systems, signed 2025-03-08 for 18 months and carrying contracted hardware of $486,900, annual subscription value of $264,000 and a deployment fee of $74,500. At the cut-off,, across Harborline Systems, the reviewer recorded the amount as computed rather than as rounded, so the

schedule footings agree. A proof-of-concept converted to a production contract, with the original pilot fee credited against the first production invoice. On Harborline Systems, the explanation offered was plausible and was still corroborated against a document before being accepted. Pilot fees were recognized on invoice eleven weeks before the service window began, which the reviewer adjusted. Under Harborline Systems, the evidence was inspected in original form rather than as a management-prepared summary. HC-2168 (Ashcombe Beverage Distribution) runs 36 months from 2024-10-30. On the record,, hardware and subscription with a deployment obligation performed partly by the customer's engineering team under supervision. Under Ashcombe Beverage Distribution, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. Ashcombe Beverage Distribution carries contracted hardware of $1,324,600, annual subscription value of $682,900 and a deployment fee of $178,000 across the contracted term. A September 2025 amendment reduced the supervision scope and refunded part of the deployment fee. The refund was recorded as a reduction of revenue in the month of payment rather than in the periods the fee had been recognized. HC-2047 (Blue Mesa Components) runs 24 months from 2024-04-02. On this point,, across Blue Mesa Components, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. A single line replenishment cell transfers on delivery, and the subscription and remote monitoring service are billed together but delivered continuously. Under Blue Mesa Components, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. Blue Mesa Components carries contracted hardware of $612,400, annual subscription value of $348,000 and a deployment fee of $86,500 across the contracted term. No modifications; the customer exercised a renewal option in April 2026 on identical terms. Allocation was tested and the bundled monitoring service carried no separate observable price, so management used an expected cost plus margin approach.

Schedule 14.2 - Monthly working capital build

Month	Receivables ($)	Unbilled ($)	Inventory ($)	Prepaid ($)	Payables ($)	Accrued ($)	Deferred revenue ($)	Net working capital ($)
2024-05	4,559,707	1,055,700	2,873,352	582,380	(3,843,399)	(1,985,108)	(6,033,873)	(2,791,241)
2024-06	3,184,525	1,408,149	2,365,558	767,375	(3,125,695)	(2,081,220)	(6,240,660)	(3,721,968)
2024-07	3,834,863	1,225,220	2,811,836	641,205	(2,746,946)	(1,713,949)	(6,342,301)	(2,290,072)
2024-08	6,385,699	1,221,920	2,859,757	603,786	(3,149,323)	(2,339,825)	(6,537,614)	(955,600)
2024-09	6,025,865	2,250,670	2,814,080	725,568	(1,708,490)	(1,553,139)	(6,412,614)	2,141,940
2024-10	6,785,867	1,961,400	2,012,419	403,720	(3,339,405)	(1,303,379)	(5,405,386)	1,115,236
2024-11	5,452,913	643,703	2,233,219	709,278	(2,240,822)	(1,220,169)	(4,631,877)	946,245
2024-12	4,814,557	2,252,146	2,058,645	625,724	(2,309,360)	(2,132,404)	(5,091,592)	217,716
2025-01	3,520,689	1,130,254	2,770,784	465,765	(2,103,720)	(1,492,151)	(5,092,709)	(801,088)
2025-02	5,292,903	1,664,558	2,902,422	522,556	(1,657,542)	(2,223,548)	(4,267,016)	2,234,333
2025-03	6,327,407	2,027,345	2,333,297	380,002	(1,915,940)	(1,763,161)	(4,171,696)	3,217,254
2025-04	3,592,502	1,344,381	2,547,089	604,488	(3,853,354)	(2,163,939)	(4,524,634)	(2,453,467)
2025-05	4,066,127	2,206,013	3,105,363	444,955	(3,867,198)	(1,575,421)	(5,121,055)	(741,216)
2025-06	5,363,186	749,626	2,372,011	597,010	(2,970,933)	(1,418,550)	(5,213,918)	(521,568)
2025-07	3,335,411	2,376,535	2,865,115	557,214	(1,712,965)	(1,800,087)	(4,982,334)	638,889
2025-08	3,384,486	1,683,622	3,391,969	730,364	(1,789,694)	(1,203,336)	(5,058,397)	1,139,014
2025-09	4,732,810	1,589,051	2,625,689	741,214	(2,384,623)	(2,258,806)	(5,512,373)	(467,038)
2025-10	4,145,578	733,377	2,428,987	498,481	(1,850,741)	(1,138,344)	(6,439,905)	(1,622,567)
2025-11	4,053,890	1,817,513	2,867,095	552,977	(3,676,040)	(1,328,587)	(6,824,803)	(2,537,955)
2025-12	6,692,218	2,011,324	3,059,472	733,712	(2,510,873)	(1,623,902)	(7,115,885)	1,246,066
2026-01	6,486,599	2,176,102	2,942,106	455,077	(3,648,294)	(1,222,066)	(7,699,506)	(509,982)
2026-02	3,358,029	1,205,830	2,799,317	780,315	(2,854,937)	(958,248)	(7,916,683)	(3,586,377)
2026-03	3,372,028	750,988	2,256,941	677,251	(1,716,586)	(1,773,234)	(8,111,920)	(4,544,532)
2026-04	3,249,610	905,391	3,432,918	792,101	(2,795,577)	(2,142,181)	(8,274,789)	(4,832,527)

4. Deferred revenue rollforward and the billing system tie-out

The reviewer rebuilt the rollforward from the billing extract rather than accepting the company's schedule, then compared the two and reported the differences. On this point,, access to post revenue journals extended beyond the accounting team until access rights were narrowed in July 2025. As to the facts,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified.

On its facts, under HC-2144 the fixed-fee validation obligation was recognized in 2026-06. In the event,, the validation obligation was delivered inside the period; a pending change request for additional units remains unpriced and is disclosed. No exception was recorded. The workpaper for fixed-fee validation is RS-026, tested against 2026-06. On fixed-fee validation, the reviewer left the amount unchanged after review but strengthened the evidence reference. In review, testing covered RS-036, the customer overpayment applied to revenue obligation under HC-2063, recognized in

2026-03 and tested against None. On the evidence,, an overpayment received in March 2026 was applied against an invoice already settled and released to revenue rather than held as a customer credit. For customer overpayment applied to revenue the exception is classified as completeness with an amount effect of $53,400. On customer overpayment applied to, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. In review, under HC-2041 the hardware - six added units obligation was recognized in 2025-04. As matters stand,, the March 2025 amendment priced the additional units at the original rate; transfer on acceptance was verified to the site acceptance certificate. No exception was recorded. The workpaper for hardware - six added units is RS-002, tested against 2025-04. On hardware six added, the reviewer compared the item with the equivalent balance in the prior period before reaching a view.

In review, the sample includes RS-018, the bundled monthly fee obligation under HC-2098, recognized in 2025-10 and tested against 2025-10. In the event,, allocation depends entirely on estimated standalone selling prices which have not been refreshed since contract inception in July 2025. For bundled monthly fee the exception is classified as estimate, and no amount effect could be quantified from the available support. On bundled monthly fee, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. From the extract, under HC-2041 the commissioning services obligation was recognized in 2025-03. As to the facts,, the non-refundable commissioning fee was recognized when invoiced rather than across the eleven-week commissioning window, so revenue preceded performance by two months. For commissioning services the exception is classified as timing with an amount effect of $68,400. The workpaper for commissioning services is RS-001, tested against 2025-05. On commissioning services, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. RS-020 covers discounted unit option on HC-2109. In detail,, the option was assessed as a material right and management allocated no consideration to it; the reviewer left the judgment open pending a pricing analysis. On discounted unit option, no projection was made from this item because it arises from a single identifiable event. The discounted unit option amount was recognized in 2026-04 and tested against 2026-04. For discounted unit option the exception is classified as judgment, and no amount effect could be quantified from the available support.

On this point, under HC-2115 the onboarding - four week programme obligation was recognized in 2025-11. Against the ledger,, this contract was retested by a second preparer and the conclusion reproduced without change. No exception was recorded. The workpaper for onboarding - four week programme is RS-021, tested against 2025-11. On onboarding four week, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. From the extract, under HC-2081 the pilot fee credited on conversion obligation was recognized in 2025-09. In this stream,, the pilot fee was recognized on invoice eleven weeks before the service window opened, and the conversion was documented as a new contract rather than a modification. For pilot fee credited on conversion the exception is classified as timing with an amount effect of $62,900. The workpaper for pilot fee credited on conversion is RS-013, tested against 2025-11. On pilot fee credited on, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. On the substance, testing covered RS-022, the liquidated damages waiver obligation under HC-2121, recognized in 2026-04 and tested against 2025-12. Per the index,, damages accrued for late go-live were waived by amendment in exchange for a term extension, and neither the accrual nor the waiver was reflected in the periods concerned. For liquidated damages waiver the exception is classified as variable consideration with an amount effect of $78,500. On liquidated damages waiver, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result.

RS-015 covers spare parts pool on HC-2086. On any view,, consideration allocated to the spares pool obligation was set at cost rather than at an estimated standalone selling price, understating the amount deferred. On spare parts pool, the file records the question asked, the answer given and the document that settled it. The spare parts pool amount was recognized in 2025-12 and tested against 2025-12. For spare parts pool the exception is classified as allocation with an amount effect of $28,400. RS-034 covers phase three acceleration on HC-2074. As matters stand,, the May 2026 amendment accelerated phase three and the revised acceptance date was verified to the customer's written confirmation. On phase three acceleration, a small residual difference remains and is reported rather than described as immaterial and omitted. The phase three acceleration amount was recognized in 2026-06 and tested against 2026-06. No exception was recorded. On the evidence, under HC-2074 the service level credit accrual obligation was recognized in 2025-11. In the event,, credits earned under the August 2025 service level commitment were recorded when the credit memo issued rather than in the months the shortfall occurred. For service level credit accrual the exception is classified as variable

consideration with an amount effect of $46,200. The workpaper for service level credit accrual is RS-012, tested against 2025-09. On service level credit accrual, the item was traced from the summary schedule through the sub-ledger to the source document.

Schedule 14.3 - Contract register with commercial terms

Contract	Customer	Signed	Term (months)	Hardware ($)	Subscription ARR ($)	Deployment fee ($)
HC-2041	Asterion Logistics	2024-02-14	36	1,842,600	964,800	214,000
HC-2047	Blue Mesa Components	2024-04-02	24	612,400	348,000	86,500
HC-2052	Crestline Fulfillment	2024-06-27	48	3,268,900	1,486,200	428,000
HC-2058	Dunbar Industrial	2024-07-19	12	284,700	132,000	0
HC-2074	Granite Peak Distribution	2025-01-16	36	2,746,100	1,312,700	386,000
HC-2081	Harborline Systems	2025-03-08	18	486,900	264,000	74,500
HC-2086	Kadence Industrial Holdings	2025-04-24	60	4,128,700	2,046,500	612,000
HC-2092	Meridian Cold Chain	2025-05-30	36	1,486,200	742,800	196,000
HC-2109	Pinecrest Retail Services	2025-09-17	36	1,684,500	824,200	232,000
HC-2115	Quarrybrook Fulfilment	2025-10-02	24	542,600	296,800	68,000
HC-2121	Redbank Distribution	2025-11-14	48	2,398,400	1,186,500	342,500
HC-2127	Saltmarsh Logistics	2026-01-09	36	1,246,900	668,400	174,000
HC-2133	Thornbury Wholesale	2026-02-20	30	886,400	458,900	118,500
HC-2139	Umberland Freight	2026-03-13	24	618,200	342,700	92,000
HC-2150	Westbourne Grocery	2026-05-19	18	384,500	212,400	54,000
HC-2156	Yarrow Distribution Partners	2026-06-04	36	1,582,300	786,200	214,500
HC-2162	Zephyr Retail Logistics	2025-06-12	42	2,064,800	998,400	286,000
HC-2168	Ashcombe Beverage Distribution	2024-10-30	36	1,324,600	682,900	178,000

5. Proof of cash and the unusual items within it

Proof of cash starts from the bank statement rather than the ledger, so that a receipt with no corresponding invoice is visible instead of being reconciled away. On the documents,, management represented that installation activity alone does not create a state filing obligation, relying on an adviser's opinion whose scope has not yet been compared with the states involved. On the evidence,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself.

On the merits, the reviewer followed a receipt of $128,400 banked on 2026-06-11 against INV-8968, where the applied amount agrees at $128,400 with no variance. In sequence,, full match; the customer's remittance references the contract number. On full match; the, the receipt was traced from the bank statement to the cash book and then to the customer account. Against full match; the, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. In sequence, a further receipt, a receipt of $26,840 banked on 2026-02-11 against INV-8848, where the applied amount agrees at $26,840 with no variance. On the record,, small subscription invoice settled by card and matched automatically. On small subscription invoice, the receipt was traced from the bank statement to the cash book and then to the customer account. Against small subscription invoice, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. Full match; the is the recorded cause on a receipt of $342,180 banked on 2026-01-30 and matched to INV-8836. For full match; the on matching, the applied amount agrees at $342,180 with no variance. On testing,, full match; the receipt cleared two days after the invoice

due date. Against full match; the, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Both the bank entry and the ledger posting were inspected.

Per the register, the proof covers a receipt of $742,860 banked on 2026-06-04 against INV-8956, INV-8958, INV-8961, where the applied amount agrees at $742,860 with no variance. As matters stand,, largest single receipt in the sample; matched across three invoices. On largest single receipt, the receipt was traced from the bank statement to the cash book and then to the customer account. Against largest single receipt, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. On the record, the receipt banked 2026-02-17 for $96,320 was traced to INV-8853. On inspection,, early settlement discount taken outside the contractual terms; the difference was written off. After matching against early settlement discount, the applied amount was $98,640, a variance of $2,320. On early settlement discount, the reviewer confirmed the posting date agrees with the bank value date. Against early settlement discount, the item was raised in the interim update and is carried forward unchanged into this file. On its facts, the receipt banked 2026-03-11 for $74,500 was traced to Unapplied. On its facts,, deposit received before invoicing; held as a customer deposit at the reviewer's request. After matching against deposit received before, no invoice was applied against it, so the whole $74,500 sat outside trade receivables. On deposit received before, the reviewer confirmed the posting date agrees with the bank value date. Against deposit received before, the explanation offered was plausible and was still corroborated against a document before being accepted.

Full match against is the recorded cause on a receipt of $286,500 banked on 2026-04-23 and matched to INV-8919, INV-8923. For full match against on matching, the applied amount agrees at $286,500 with no variance. By reference,, full match against two milestone invoices for the same facility. Against full match against, the item is cross-referenced to the corresponding entry in the information request register. Both the bank entry and the ledger posting were inspected. Short payment pending is the recorded cause on a receipt of $164,300 banked on 2026-05-21 and matched to INV-8944, INV-8947. For short payment pending on matching, the applied amount was $165,480, a variance of $1,180. On the source,, short payment pending resolution of a duplicated spares charge. Against short payment pending, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Both the bank entry and the ledger posting were inspected. Cheques received and is the recorded cause on a receipt of $68,400 banked on 2026-06-30 and matched to Undeposited. For cheques received and on matching, the applied amount agrees at $68,400 with no variance. In the event,, cheques received and recorded on the last day but not deposited until July. Against cheques received and, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. Both the bank entry and the ledger posting were inspected.

In substance, the proof covers a receipt of $486,240 banked on 2026-01-14 against INV-8814, INV-8817, where the applied amount agrees at $486,240 with no variance. On testing,, full match; remittance advice identified both invoices. On full match; remittance, the receipt was traced from the bank statement to the cash book and then to the customer account. Against full match; remittance, the reviewer recorded that no comparable item was found in the two earlier periods examined. On reperformance, the reviewer matched a receipt of $38,600 banked on 2026-05-29 against Unapplied, where no invoice was applied against it, so the whole $38,600 sat outside trade receivables. On reperformance,, receipt from a customer with no open invoice; identified as a prepayment for a July 2026 milestone. On receipt from a, the receipt was traced from the bank statement to the cash book and then to the customer account. Against receipt from a, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. In the event, the reviewer followed a receipt of $214,680 banked on 2026-06-18 against INV-8974, where the applied amount was $216,200, a variance of $1,520. Read narrowly,, withholding applied by the customer's shared service centre and recovered in July. On withholding applied by, the receipt was traced from the bank statement to the cash book and then to the customer account. Against withholding applied by, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree.

6. Accrual completeness and cutoff testing

Completeness testing works backwards from post-period invoices and vendor statements, because an unrecorded liability leaves no trace in the ledger to sample from. On reperformance,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. Per the workpaper,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report.

On testing, the completeness work covered AP-4672, Wetherby Freight Services, for $38,460 covering June 2026 and invoiced 2026-07-03. On testing,, freight accrual now derives from shipping manifests, which resolved the duplication identified in 2025. The ledger records the cost in June 2026. For Wetherby Freight Services in June 2026, the period recorded matches the service period and no adjustment arises. On Wetherby Freight Services, the amount was agreed to the underlying system extract without a residual difference. AP-4207 relates to Corvid Metalworks and covers September 2025 at $71,640. In detail,, spares received on 2025-09-26 were not accrued; the goods receipt note fixes the service period inside September. On Corvid Metalworks, the reviewer confirmed the amount does not also sit within the working capital peg. For Corvid Metalworks in September 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. The invoice is dated 2025-10-02 and the amount posted in October 2025. On its facts, for Fremont Commercial Bank the reviewer tested AP-4312 at $24,600, posted in September 2025. Per the workpaper,, accrued interest agrees to the lender statement and to the amortization schedule. The service period is September 2025 against an invoice dated 2025-10-05. For Fremont Commercial Bank in September 2025, the period recorded matches the service period and no adjustment arises. On Fremont Commercial Bank, the file records the question asked, the answer given and the document that settled it.

In review, for Sandhill Staffing the reviewer tested AP-4288 at $34,720, posted in October 2025. On any view,, agency technician hours for the final week of September were invoiced late and no accrual was raised. The service period is September 2025 against an invoice dated 2025-10-14. For Sandhill Staffing in September 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. On Sandhill Staffing, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. On inspection, the reviewer traced AP-4721, Sandhill Staffing, for $22,180 covering June 2026 and invoiced 2026-07-08. From the extract,, two technicians' final week was invoiced after the cut-off and not accrued, which is the same pattern seen in September 2025. The ledger records the cost in July 2026. For Sandhill Staffing in June 2026, cost belonging to the earlier period was recorded later, so the earlier period is understated. On Sandhill Staffing, the conclusion would change if the missing supporting document is later produced in a different form. In the file, for Wetherby Freight Services the reviewer tested AP-4438 at $27,315, posted in December 2025. In this stream,, the duplicated November freight accrual reversed here, so December cost is understated and November overstated. The service period is December 2025 against an invoice dated 2026-01-05. For Wetherby Freight Services in December 2025, the reversal of an earlier duplication lands here, so this period is overstated and the earlier one understated. On Wetherby Freight Services, the reviewer confirmed the counterparty is not a related party before accepting the document at face value.

On the documents, also tested was AP-4644, Corvid Metalworks, for $64,800 covering June 2026 and invoiced 2026-07-07. In detail,, the June receipt was accrued from the receiving log and agrees to the vendor statement. The ledger records the cost in June 2026. For Corvid Metalworks in June 2026, the period recorded matches the service period and no adjustment arises. On Corvid Metalworks, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. On the evidence, the cutoff sample includes AP-4233, Halloran Electrical, for $18,420 covering September 2025 and invoiced 2025-10-11. On the source,, the accrual was raised from the work order and agrees to the invoice within a small variance cleared in October. The ledger records the cost in September 2025. For Halloran Electrical in September 2025, the period recorded matches the service period and no adjustment arises. On Halloran Electrical, the conclusion rests on a document produced by a third party rather than by the company. On a second read, the sample carries AP-4698, Lattimer Legal LLP, for $68,400 covering June 2026 and invoiced 2026-07-16. On the source,, unbilled legal work was estimated by counsel in a written confirmation obtained during fieldwork. The ledger records the cost in June 2026. For Lattimer Legal LLP in June 2026, the amount rests on an estimate rather than an invoice, and the estimate was corroborated during fieldwork. On Lattimer Legal LLP, no further procedures were considered necessary once the source document had been inspected.

Against the ledger, for Larkspur Controls Sellers the reviewer tested AP-4583 at $486,500, posted in March 2026. In this stream,, the instalment falling due in January 2027 is recorded at its contractual amount with no discounting applied. The service period is Deferred consideration against an invoice dated 2026-04-01. For Larkspur Controls Sellers in Deferred consideration, the period recorded matches the service period and no adjustment arises. On Larkspur Controls Sellers, the item is presented gross so that a reader can rebuild the measure from reported results. In the file, the cutoff sample includes AP-4465, Northline Customs Brokers, for $21,480 covering December 2025 and invoiced 2026-01-12. Against the ledger,, brokerage on a December import entry was recorded in January; the entry date establishes the service

period. The ledger records the cost in January 2026. For Northline Customs Brokers in December 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. On Northline Customs Brokers, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. AP-4344 relates to Lattimer Legal LLP and covers August-September 2025 at $50,000. On the merits,, a round accrual was raised without an invoice; counsel's later statement differed by an immaterial amount left uncorrected. On Lattimer Legal LLP, the item was traced from the summary schedule through the sub-ledger to the source document. For Lattimer Legal LLP in August-September 2025, the amount rests on an estimate rather than an invoice, and the estimate was corroborated during fieldwork. The invoice is dated 2025-10-20 and the amount posted in September 2025.

Schedule 14.4 - Deferred revenue rollforward

Month	Opening ($)	Billings ($)	Recognized ($)	Modifications ($)	Refunds ($)	Closing ($)	GL tie difference ($)
2024-05	5,102,147	2,441,028	1,407,841	(43,363)	(58,098)	6,033,873	(1,042)
2024-06	6,033,873	1,669,587	1,269,317	(143,946)	(49,537)	6,240,660	296
2024-07	6,240,660	1,888,595	1,746,980	14,620	(54,594)	6,342,301	(1,844)
2024-08	6,342,301	1,545,237	1,307,529	23,092	(65,487)	6,537,614	(1,180)
2024-09	6,537,614	1,771,696	1,936,859	60,120	(19,957)	6,412,614	3,278
2024-10	6,412,614	1,350,322	2,199,370	(119,072)	(39,108)	5,405,386	3,318
2024-11	5,405,386	1,225,966	1,815,684	(124,865)	(58,926)	4,631,877	685
2024-12	4,631,877	1,805,787	1,210,620	(121,769)	(13,683)	5,091,592	(793)
2025-01	5,091,592	1,877,735	1,819,520	(52,102)	(4,996)	5,092,709	(552)
2025-02	5,092,709	1,492,994	2,228,680	(17,341)	(72,666)	4,267,016	1,632
2025-03	4,267,016	1,327,157	1,294,054	(68,401)	(60,022)	4,171,696	3,365
2025-04	4,171,696	2,457,974	2,040,075	(64,117)	(844)	4,524,634	(2,213)
2025-05	4,524,634	2,329,646	1,597,653	(85,153)	(50,419)	5,121,055	(2,459)
2025-06	5,121,055	1,732,018	1,636,535	33,998	(36,618)	5,213,918	2,891
2025-07	5,213,918	1,929,085	2,063,330	(41,390)	(55,949)	4,982,334	(1,959)
2025-08	4,982,334	1,843,950	1,703,812	(20,090)	(43,985)	5,058,397	1,485
2025-09	5,058,397	1,828,620	1,281,890	(27,738)	(65,016)	5,512,373	1,774
2025-10	5,512,373	2,386,491	1,373,890	(79,470)	(5,599)	6,439,905	2,065
2025-11	6,439,905	1,533,563	1,199,684	53,066	(2,047)	6,824,803	(120)
2025-12	6,824,803	2,234,338	1,944,998	62,047	(60,305)	7,115,885	902
2026-01	7,115,885	1,882,071	1,249,104	(30,429)	(18,917)	7,699,506	803
2026-02	7,699,506	2,459,582	2,123,500	(74,611)	(44,294)	7,916,683	1,841
2026-03	7,916,683	2,206,537	1,849,095	(127,325)	(34,880)	8,111,920	(2,333)
2026-04	8,111,920	2,270,091	2,121,926	19,943	(5,239)	8,274,789	2,301

7. Representations obtained and the evidence behind each one

The reviewer separates representation from evidence because a buyer negotiating on this record needs to know which conclusions would survive an audit. On the papers,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. On reperformance,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests.

Taken alone,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. On the merits,, segregation between preparer and approver was not enforced until the November 2024 workflow change, and self-approved entries appear on both sides of that date. At the cut-off,, the review period runs from 2024-01-01 to 2026-06-30, comprising two full financial years and a six-month stub, with the trailing twelve months to June 2026 used as the primary reference period. ADJ-30 concerns relocation and immigration cost for two senior hires and was raised by management as a non-recurring item. From the extract,, two senior engineering hires carried relocation and immigration cost that management characterizes as a hiring event rather than an ongoing expense. On Relocation and immigration cost, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. Relocation and immigration cost is recorded as a add-back of $63,750 in Q1-2026, evidenced by relocation vendor invoices and the two executed offer letters. Relocation and immigration cost was reduced at $41,500 and the reason sits on the schedule itself.

In this stream,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. By reference,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. Against the ledger,, accruals were

historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified. On the record, diligence proposed ADJ-24 at $62,900 for H2-2025, described as deferred revenue haircut on the harborline pilot. In the file,, pilot fees were recognized on invoice rather than across the pilot period, which pulled revenue into the second half of 2025 ahead of the service delivery it paid for. Deferred revenue haircut on was accepted at $62,900 and the reason sits on the schedule itself. Deferred revenue haircut on carries a recurrence judgment of normalization, and the supporting file is the pilot agreement, the acceptance certificate and the billing extract. On Deferred revenue haircut on, reperformance used the contractual rate rather than the rate management had applied.

In detail,, recurrence is judged on evidence about the future obligation rather than on whether the cost is unusual, which is why several items management called one-time were rejected. On this point,, the reviewer reperformed rather than reviewed management's own calculations wherever the calculation drives an adjustment. Per the index,, consolidation covers the parent and the Ontario deployment subsidiary; the dormant Delaware holding entity has no activity in the period and was excluded after inspection of its trial balance. From the extract, diligence proposed ADJ-17 at $43,200 for FY2024, described as founder-owned property sublease above market. Taken alone,, a related-party sublease priced above the range indicated by comparable space inflates occupancy cost relative to what a buyer would pay at renewal. Founder-owned property sublease above was reduced at $27,600: the reviewer used the lower of the two broker opinions and confined the adjustment to the portion of the year the sublease was in force. Founder-owned property sublease above carries a recurrence judgment of normalization, and the supporting file is the sublease agreement and two broker opinions on comparable industrial space. On Founder-owned property sublease above, this is one of the items the seller's adviser has indicated it will contest at the closing meeting.

In the file,, revenue recognition decisions are made contract by contract without a standing checklist, so treatment depends on who prepared the memorandum. On testing,, no procedures were performed on income taxes beyond identifying the exposures listed, and no view is expressed on the recoverability of any deferred tax balance. Per the index,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. From the extract, a further item, ADJ-07, Cloud hosting overage during the Crestline migration, which adds back $128,940 against H2-2025 on a non-recurring basis. In the event,, parallel-running the old and new fleet telemetry stacks doubled hosting cost for four months while the migration completed. Support consists of the hosting provider's invoice detail by project tag for September to December 2025, and the item was put forward by management. Cloud hosting overage during was reduced at $79,500: the reviewer accepted only the duplicated environment cost; the remainder reflects volume growth that persists after cutover. On Cloud hosting overage during, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result.

Schedule 14.5 - Proof of cash receipts

Receipt date	Bank amount ($)	Matched invoices	Applied ($)	Variance ($)	Cause
2026-01-14	486,240	INV-8814, INV-8817	486,240	0	Full match; remittance advice identified both invoices.
2026-01-22	142,680	INV-8829	143,180	(500)	Customer withheld a disputed freight charge which was credited in February
2026-02-03	268,450	INV-8841, INV-8842, INV-8846	268,450	0	Full match against a consolidated remittance.
2026-02-11	26,840	INV-8848	26,840	0	Small subscription invoice settled by card and matched automatically.
2026-02-17	96,320	INV-8853	98,640	(2,320)	Early settlement discount taken outside the contractual terms; the differe
2026-02-26	512,900	INV-8861	512,900	0	Milestone payment matched to a single invoice with the customer's purchase
2026-03-05	184,760	INV-8872, INV-8875	184,760	0	Full match; both

Receipt date	Bank amount ($)	Matched invoices	Applied ($)	Variance ($)	Cause
					invoices relate to the same site.
2026-03-19	348,620	INV-8884	346,980	1,640	Bank charges deducted by the paying bank rather than an invoice dispute.
2026-03-27	53,400	INV-8791 (settled)	0	53,400	Overpayment applied to a settled invoice and released to revenue; reversed
2026-04-08	624,180	INV-8896, INV-8901	624,180	0	Full match; the remittance advice reconciles line by line.
2026-04-23	286,500	INV-8919, INV-8923	286,500	0	Full match against two milestone invoices for the same facility.
2026-04-30	186,920	INV-8927, INV-8929	188,400	(1,480)	Customer deducted a rebate accrued under a volume arrangement not recorded
2026-05-14	468,720	INV-8938	468,720	0	Hardware invoice settled in full on contractual terms.
2026-05-21	164,300	INV-8944, INV-8947	165,480	(1,180)	Short payment pending resolution of a duplicated spares charge.
2026-05-29	38,600	Unapplied	0	38,600	Receipt from a customer with no open invoice; identified as a prepayment f
2026-06-04	742,860	INV-8956, INV-8958, INV-8961	742,860	0	Largest single receipt in the sample; matched across three invoices.
2026-06-18	214,680	INV-8974	216,200	(1,520)	Withholding applied by the customer's shared service centre and recovered
2026-06-25	96,540	INV-8981, INV-8983	96,540	0	Full match against two subscription invoices.

8. Open items and outstanding information requests

Each open item records the owner, the date requested, the date received where applicable, and the specific conclusion that remains qualified without it. On the papers,, the reviewer has not verified the completeness of the contract population beyond reconciling the contract register to the billing system and to recorded revenue. On the record,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight.

IR-034 asks for board minutes evidencing the december 2024 bonus decision. The request for board minutes evidencing the was raised on 2026-06-20 with the seller - company secretary and material was provided on 2026-07-08, leaving the item received - insufficient. For board minutes evidencing the, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. On the balance,, the minutes record the decision but not the plan terms, so the reviewer relies on management's representation that the bonus remained available. Read narrowly, the seller - systems administrator holds IR-078, journal entry extract with preparer and approver fields, requested 2026-06-30. On any view,, the extract enabled the exception testing; approver fields are blank for a subset of entries, which is itself the finding. On journal entry extract with, as at the date of this file material was provided on 2026-07-04 and the item is closed. For journal entry extract with, reperformance used the contractual rate rather than the rate management had

applied. By agreement, the seller - controller holds IR-052, bank statements for the ontario subsidiary for the full period, requested 2026-06-25. On this point,, two months are missing, so cash proof coverage for the subsidiary is below the level applied to the parent. On bank statements for the, as at the date of this file the response is partially received and the item is open. For bank statements for the, the reviewer confirmed the amount does not also sit within the working capital peg.

On the substance, the log shows IR-096, confirmation of restricted cash release conditions, addressed to the seller - treasury and requested on 2026-07-03; the response is received - under review. The status is recorded as pending. Per the workpaper,, if release depends on milestones beyond closing the balance stays outside cash at closing. For confirmation of restricted cash, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. IR-081 asks for inventory count sheets for the june 2026 physical count. The request for inventory count sheets for was raised on 2026-07-01 with the seller - operations and the response is partially received, leaving the item open. For inventory count sheets for, the supporting document was produced after two requests and its late arrival is noted in the register. On testing,, count coverage of the spares pool cannot be confirmed, so inventory in the working capital peg rests on the perpetual records. IR-014 asks for signed acceptance certificate for crestline site three. The request for signed acceptance certificate for was raised on 2026-06-18 with the seller - deployment lead and nothing has been provided, leaving the item open. For signed acceptance certificate for, the supporting document was produced after two requests and its late arrival is noted in the register. Taken alone,, without a dated certificate the transfer month rests on the installer's log, leaving a month of hardware revenue in the wrong period.

In sequence, still unresolved is IR-111, support for the liquidated damages waiver on redbank, addressed to the seller - commercial and requested on 2026-07-07; material was provided on 2026-07-13. The status is recorded as received - under review. Per the index,, the amendment accounting remains open, and both the accrual and the waiver may move between periods. For support for the liquidated, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. Against the ledger, the seller - finance director holds IR-041, engagement letters for all adviser fees in the period, requested 2026-06-23. On the substance,, two invoices remain unsupported, so the split between transaction and ordinary-course professional fees is provisional. On engagement letters for all, as at the date of this file the response is partially received and the item is open. For engagement letters for all, the item was selected for testing because of its characteristics rather than its size. IR-038 asks for warranty claim detail by chassis generation. The request for warranty claim detail by was raised on 2026-06-23 with the seller - service manager and material was provided on 2026-07-01, leaving the item closed. For warranty claim detail by, the item was traced from the summary schedule through the sub-ledger to the source document. Per the workpaper,, the detail supported the recalculated accrual rate and the adjustment was agreed at the lower of the two estimates.

In this stream, the information request log records IR-115, vendor statements for the ten largest suppliers, addressed to the seller - accounts payable and requested on 2026-07-07; the response is partially received. The status is recorded as open. On the papers,, accrual completeness testing coverage falls below the planned level for three suppliers. For vendor statements for the, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. On its facts, the seller - controller holds IR-099, reconciliation of the fixed asset register to the ledger, requested 2026-07-03. On the record,, depreciation in the earnings measure cannot be tied to the register, which limits the capital expenditure commentary. On reconciliation of the fixed, as at the date of this file nothing has been provided and the item is open. For reconciliation of the fixed, the reviewer recorded that no comparable item was found in the two earlier periods examined. On a second read, the seller - tax adviser holds IR-023, state nexus opinion supporting no sales tax filings, requested 2026-06-19. On the merits,, the exposure remains a range until the opinion's scope is compared with the states in which field staff worked. On state nexus opinion supporting, as at the date of this file material was provided on 2026-07-02 and the item is received - under review. For state nexus opinion supporting, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction.

Schedule 14.6 - Receivable, payable and inventory days by month

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
2024-01	4,252,122	1,616,144	69	58	71	82	Improved after the credit control change
2024-02	4,312,108	1,677,985	42	33	117	126	Within the

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
							trailing average
2024-03	5,525,080	2,368,792	54	42	55	67	Improved after the credit control change
2024-04	6,369,718	1,446,709	52	46	51	57	Improved after the credit control change
2024-05	4,559,707	1,055,700	62	52	100	110	Improved after the credit control change
2024-06	3,184,525	1,408,149	50	47	72	75	Distorted by a single milestone invoice
2024-07	3,834,863	1,225,220	44	35	49	58	Elevated by two late enterprise settlements
2024-08	6,385,699	1,221,920	50	44	59	65	Inventory build ahead of a phase release
2024-09	6,025,865	2,250,670	39	55	108	92	Elevated by two late enterprise settlements
2024-10	6,785,867	1,961,400	41	53	114	102	Distorted by a single milestone invoice
2024-11	5,452,913	643,703	41	58	110	93	Inventory build ahead of a phase release
2024-12	4,814,557	2,252,146	48	59	62	51	Elevated by two late enterprise settlements
2025-01	3,520,689	1,130,254	41	58	69	52	Elevated by two late enterprise settlements
2025-02	5,292,903	1,664,558	47	57	57	47	Inventory build ahead of a phase release
2025-03	6,327,407	2,027,345	55	61	114	108	Payables stretched at the period end
2025-04	3,592,502	1,344,381	53	41	65	77	Within the trailing average
2025-05	4,066,127	2,206,013	44	57	53	40	Elevated by two late enterprise settlements
2025-06	5,363,186	749,626	74	37	92	129	Inventory build ahead of a phase release
2025-07	3,335,411	2,376,535	43	32	72	83	Payables stretched at the period end
2025-08	3,384,486	1,683,622	59	62	90	87	Improved after the credit control change
2025-09	4,732,810	1,589,051	72	45	98	125	Elevated by two late enterprise settlements
2025-10	4,145,578	733,377	57	49	110	118	Elevated by two late enterprise settlements
2025-11	4,053,890	1,817,513	68	49	50	69	Elevated by

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
							two late enterprise settlements
2025-12	6,692,218	2,011,324	52	39	101	114	Distorted by a single milestone invoice
2026-01	6,486,599	2,176,102	50	53	76	73	Within the trailing average
2026-02	3,358,029	1,205,830	49	46	111	114	Improved after the credit control change
2026-03	3,372,028	750,988	51	32	62	81	Improved after the credit control change
2026-04	3,249,610	905,391	69	54	60	75	Elevated by two late enterprise settlements
2026-05	5,515,003	1,259,064	38	40	81	79	Elevated by two late enterprise settlements
2026-06	6,077,715	639,767	41	45	111	107	Payables stretched at the period end

9. Limitations, unresolved matters and what a reader must not infer

The limitations below are stated in the file rather than in a covering letter, because each one attaches to a specific conclusion elsewhere in this document. On its facts,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. In sequence,, inventory quantities rest on perpetual records because the reviewer did not observe the June 2026 count and the count sheets were only partially made available.

On the record,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified. In the event,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption. As to the facts,, the reviewer has not verified the completeness of the contract population beyond reconciling the contract register to the billing system and to recorded revenue. IR-067 asks for supplier settlement letter for the harness rework recovery. The request for supplier settlement letter for was raised on 2026-06-29 with the seller - procurement and material was provided on 2026-07-02, leaving the item closed. For supplier settlement letter for, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. Per the index,, the letter confirmed the recovery amount and allowed the campaign to be presented on a net basis.

From the extract,, bank reconciliations are prepared monthly and reviewed, but three months carry unexplained items that were carried forward rather than cleared. On the documents,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule. Per the register,, management represented that the spares pool is fully counted, although the count sheets provided cover only part of the pool. On reperformance, the seller - counsel holds IR-092, lease agreements and amendments for all leased premises, requested 2026-07-02. On any view,, the Fremont amendment supported the abatement normalization and the straight-line recomputation. On lease agreements and amendments, as at the date of this file material was provided on 2026-07-09 and the item is closed. For lease agreements and amendments, the conclusion rests on a document produced by a third party rather than by the company.

On a second read,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ. On the documents,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. As matters stand,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. On the papers, the seller - systems administrator holds IR-078, journal entry extract with preparer and

approver fields, requested 2026-06-30. On reperformance,, the extract enabled the exception testing; approver fields are blank for a subset of entries, which is itself the finding. On journal entry extract with, as at the date of this file material was provided on 2026-07-04 and the item is closed. For journal entry extract with, a second preparer reperformed the arithmetic and reached the same figure to the dollar.

On the substance,, where an exception is identified, the reviewer states the population, the value tested, the coverage achieved and the projected effect before proposing any adjustment. On the source,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. In substance,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests. IR-111 asks for support for the liquidated damages waiver on redbank. The request for support for the liquidated was raised on 2026-07-07 with the seller - commercial and material was provided on 2026-07-13, leaving the item received - under review. For support for the liquidated, the reviewer declined to net this item against another with an opposite direction in the same period. In review,, the amendment accounting remains open, and both the accrual and the waiver may move between periods.